



MARKET MONITOR

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No. 77– April 2020

Despite much uncertainty caused by the rapid spread of COVID-19, global food markets remain well balanced: cereal stocks are expected to reach their third highest level on record this season and export availabilities for all AMIS crops are more than adequate to meet the anticipated demand. Nonetheless, given prospects of much weaker economic growth in many countries and turmoil in energy and currency markets, not to mention rising concerns over the impact of temporary lockdowns on both domestic logistics and international trade, G20-AMIS is closely monitoring the situation to promote policy dialogue and transparency. This is the time for greater international collaboration and, above-all, restraint in taking unilateral actions that could result in unnecessary panic in food markets.

Markets at a glance

	From previous forecast	From previous season
Wheat	▼	▲
Maize	▲	▼
Rice	■	■
Soybeans	▼	▼

▲ Easing ■ Neutral ▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the ten international organizations and entities that form the AMIS Secretariat.

Feature article

COVID-19 may spare global food markets, but not vulnerable countries

While the impact of the COVID-19 crisis on global food markets has so far been limited, the pandemic poses a serious threat to food security at local level. According to official statistics, the virus has not yet spread widely in countries where food insecurity is pervasive, most notably in Sub-Saharan Africa. If it did, the outbreak could be expected to have similar effects to previous epidemic-induced shocks, such as the Ebola Virus Disease, which caused steep harvest reductions, food price spikes and aggravated food insecurity. Additionally, and perhaps more imminent, is the risk posed by the global economic downturn caused by the COVID-19 crisis, which may compromise import-dependent countries' ability to purchase foods and cause income losses for households, with acute food security repercussions.

Agricultural production systems in the most vulnerable countries are predominantly labour intensive. Quarantine measures, self-isolation and aversion behaviour in response to an outbreak would therefore cut the labour supply, potentially resulting in acreage contractions, limiting crop management and ultimately curbing harvests. Whilst such effects would immediately dent domestic food supplies, in the medium-term income-earning opportunities, from crop sales for instance, would also be negatively affected. Moreover, low reserves of food staples, a common characteristic of low-income countries and households, limit the ability to modulate food supplies in instances of production shocks and interruptions to trade, extenuating vulnerabilities.

Concurrently, the slowdown in the global economy and disruptions to global agricultural supply chains have cut back demand for cash and high-valued crops, such as fruits, coffee and tea, which are key export-earners in many less-developed countries. These reductions will translate into income losses for farming households, while national foreign currency reserves could shrink, with implications for funding of social-safety net programmes and the ability to pay for food imports. Particularly in urban areas of less-developed countries, the slowdown in economic activities and movement restrictions are likely to cut households' incomes and purchasing power, factors that would aggravate food insecurity. If the crisis is of relatively short duration, people could be expected to switch to cheaper but less nutritious foods, therefore resulting in increases in nutrient deficiencies, rather than a broad decline in calories that would result from a prolonged pandemic.

There is a clear reciprocal relationship between health and agriculture, particularly for rural households. Low levels of agricultural productivity and poor food systems can foster a higher prevalence of malnourishment, increasing a population's vulnerability to morbidity and the impact of disease outbreaks, such as COVID-19. Although immediate interventions are and should be directed to contain the outbreak, this pandemic also shows the urgent need to strengthen the resilience of agriculture and more broadly calls for increased efforts to eradicate hunger.

World supply-demand outlook

- **Wheat*** 2019 production estimate remains just over 763 million tonnes; minor upward revisions this month in Argentina and in the Russian Federation countered a small cut in the EU.
- Utilization in 2019/20 is nearly unchanged m/m; upward revisions in China balanced against a downward revision in the EU stemming from lower than expected production and faster pace in exports.
- Trade in 2019/20 (July/June) still pointing to a 3.2 percent rebound from 2018/19 as larger shipments from the EU offset lower than previously anticipated exports from drought-impacted Australia.
- Stocks (ending in 2020) lowered m/m, reflecting downward revisions in China, but still slightly above their opening levels.

- **Maize**** 2019 production raised m/m largely on an upward revision in the EU based on increases in both harvested area and yield.
- Utilization in 2019/20 scaled up slightly following upward revisions in the EU and the Russian Federation; putting the expansion from the previous season at just over one percent.
- Trade forecast for 2019/20 (July/June) stands at just over 167 million tonnes, up marginally from 2018/19 levels and at a record, supported by ample export supplies.
- Stocks (ending 2020) nearly unchanged from last month and still expected to decline by roughly 5 percent from their opening level.

- **Rice** production in 2019 barely changed m/m and still pointing to an only slight output reduction from the 2018 record, largely due to drops in China, Brazil and Thailand.
- Domestic utilization in 2019/20 trimmed, but ample supplies still expected to sustain a 1.6 percent expansion in food use of rice.
- Trade in 2020 downgraded, on lower than previously anticipated imports by Iran and Iraq, as well as a few African countries.
- Stocks (2019/20 carry-outs) raised marginally m/m, with global rice reserves seen at their second highest on record and sufficient to cover over 4 months of projected world consumption.

- **Soybean** 2019/20 production forecasts trimmed on unfavourable harvest conditions in pockets of Argentina and, to a lesser extent, Brazil and Uruguay – although the region as a whole is still expected to gather a record crop amid nearly ideal weather conditions.
- Utilization in 2019/20 lowered fractionally on reduced crush forecasts for Argentina and a slower than originally anticipated recovery in China due to the COVID-19 pandemic.
- Trade forecast for 2019/20 adjusted downwards marginally on somewhat lower import estimates for China, while Argentina's exports were trimmed.
- Stocks (19/20 carry-out) scaled down further, primarily reflecting lower carry-out forecasts for Argentina and Brazil.

	FAO-AMIS			USDA		IGC	
	2018/19 est	2019/20 f'cast 5 Mar	2 Apr	2018/19 est	2019/20 f'cast 10 Mar	2018/19 est	2019/20 f'cast 26 Mar
Wheat	Prod	732.4	763.1	731.5	764.5	732.2	763.2
	Supply	601.0	629.5	600.0	630.9	600.8	629.6
	Utiliz.	1,020.0	1,038.4	1,015.0	1,042.1	1,002.8	1,027.9
	Trade	778.4	785.6	752.4	768.7	757.1	774.1
	Stocks	751.9	761.5	737.4	754.9	738.0	753.3
	Trade	623.0	633.7	612.4	626.9	610.5	623.9
	Trade	168.2	173.7	175.4	184.1	168.4	176.0
	Trade	165.2	170.5	171.2	179.0	165.1	171.9
	Stocks	271.5	277.2	277.6	287.1	264.8	274.7
	Stocks	156.2	149.0	137.8	138.9	143.4	146.2
Maize	Prod	1,120.2	1,137.8	1,123.3	1,112.0	1,129.8	1,116.3
	Supply	863.0	877.0	866.0	851.2	872.4	851.4
	Utiliz.	1,489.3	1,498.6	1,464.9	1,432.8	1,469.2	1,439.4
	Trade	1,026.8	1,041.6	985.1	961.7	991.2	974.2
	Stocks	1,140.4	1,150.4	1,144.1	1,135.5	1,146.1	1,150.0
	Trade	869.7	876.2	870.1	856.5	867.5	867.2
	Trade	166.3	166.8	171.9	173.5	164.7	168.2
	Trade	161.8	163.8	167.4	166.5	159.7	162.2
	Stocks	361.2	341.8	320.8	297.3	323.1	289.3
	Stocks	165.0	155.6	110.5	98.3	118.6	101.0
Rice	Prod	514.6	512.2	499.4	499.3	499.9	499.5
	Supply	369.2	368.6	350.9	352.6	351.4	352.7
	Utiliz.	690.4	695.2	661.9	674.6	662.6	672.1
	Trade	440.0	446.2	404.5	412.9	411.0	417.5
	Stocks	509.1	514.4	486.8	492.3	490.0	494.9
	Trade	362.9	368.1	343.9	349.4	346.9	351.6
	Trade	44.1	45.8	43.3	44.5	42.4	44.0
	Trade	41.0	43.0	38.0	38.8	39.7	40.8
	Stocks	183.1	182.2	175.3	182.3	172.6	177.2
	Stocks	77.7	79.5	60.3	64.3	61.5	63.5
Soybeans	Prod	364.1	345.4	358.7	341.8	362.3	340.9
	Supply	348.1	327.3	342.7	323.7	346.3	322.8
	Utiliz.	413.2	403.8	457.7	453.6	406.8	395.8
	Trade	383.7	374.7	418.7	416.1	285.6	270.7
	Stocks	353.2	360.6	342.9	350.1	351.9	357.5
	Trade	252.2	255.3	240.9	246.4	248.9	252.4
	Trade	150.4	152.1	148.3	151.9	151.7	152.5
	Trade	67.9	63.6	62.9	62.8	64.8	63.6
	Stocks	58.4	44.6	111.9	102.4	54.9	38.2
	Stocks	47.4	32.4	92.4	80.7	36.7	18.5

i Data shown in the second rows refer to world aggregates without China; world trade data refer to exports and world trade without China excludes exports to China.

To review and compare data, by country and commodity, across three main sources, go to <https://app.amis-outlook.org/#/market-database/view-and-compare>. Estimates and forecasts may differ across sources for many reasons, including different methodologies.

* For more details see the March issue of FAO Crop Prospects and Food Situation at <http://www.fao.org/giews/reports/crop-prospects/>.

** The 2019/20 AMIS-FAO world maize production forecast includes southern hemisphere maize crops harvested in 2019 whereas IGC and USDA include southern hemisphere maize crops to be harvested in 2020 in their 2019/20 world production numbers.

For more information see Explanatory notes on the last page of this report.

Summary of revisions (FAO-AMIS) since the previous report

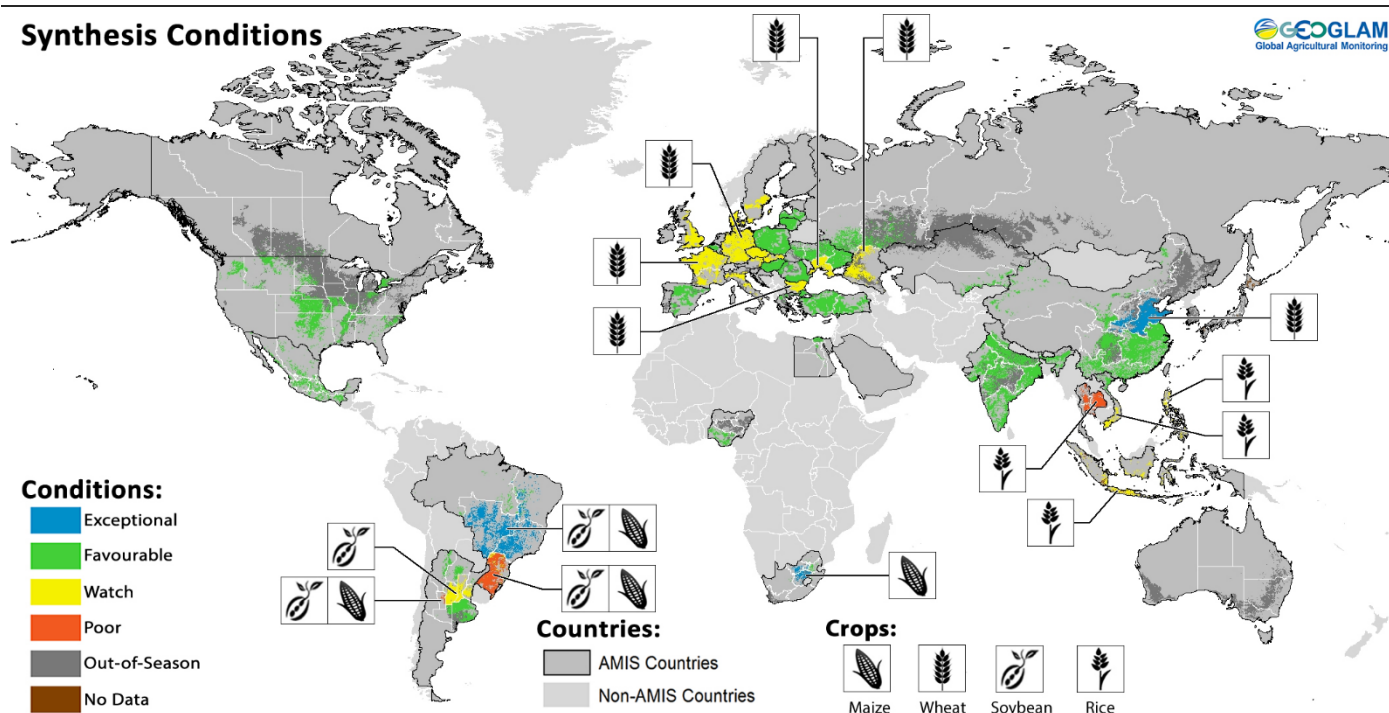
in thousand tonnes

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Crop monitor

Crop conditions in AMIS countries (as of 28 March)

Synthesis Conditions



Crop condition map synthesizing information for all four AMIS crops as of 28 March. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.**

Conditions at a glance

Wheat - In the northern hemisphere, winter wheat is beginning spring growth under generally favourable conditions with spot areas of dryness or excess wetness in Europe while favourable to exceptional conditions in China.

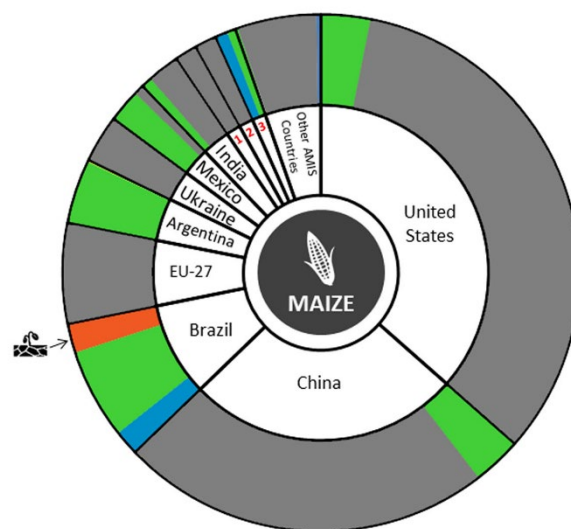
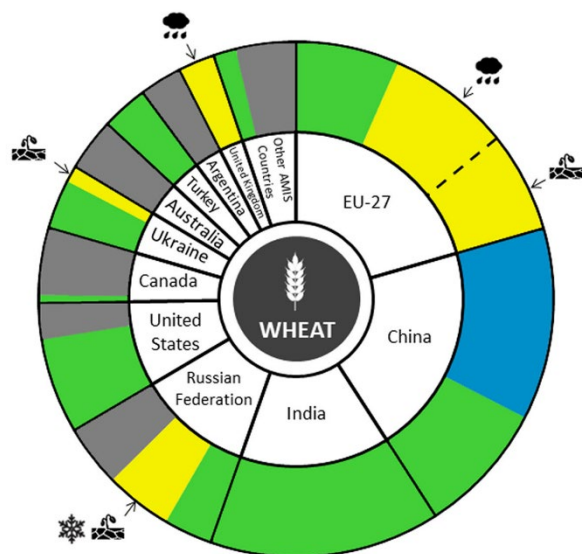
Maize - In the southern hemisphere, conditions are generally favourable for Brazil and Argentina. In the northern hemisphere, conditions are favourable in India and Mexico, while sowing just begins in the southern US.

Rice – In India and China conditions are favourable. In Southeast Asia, dry conditions continue to be a problem across the northern dry-season rice countries and in Indonesia for wet-season rice.

Soybeans - In the southern hemisphere, Brazil has exceptional conditions in the central and northern regions dry conditions in the south. In Argentina, dry conditions have spread across the central producing provinces.

ENSO and IOD Neutral Conditions

El Niño-Southern Oscillation (ENSO) conditions are currently neutral and are most likely to remain neutral through the northern hemisphere spring (65 percent) and summer (55 percent). The Indian Ocean Dipole (IOD) is currently neutral and is forecast to remain near-neutral for the next few months. However, sea surface temperatures in the western Indian Ocean are above normal at present, supporting enhanced April-June precipitation over eastern Africa.

Conditions:**Drivers:**

Canada¹, Russian Federation², South Africa³

Wheat

In the **EU**, winter wheat conditions are generally favourable despite dry conditions in the south and southeast along with excessive wetness in the north and northwest. In the **UK**, crops are under watch due to overly wet conditions. In **Turkey**, conditions are favourable. In **Ukraine**, winter wheat has emerged from dormancy under generally favourable conditions except in the south, where watch conditions remain due to lower than average soil moisture levels and a risk of a spring drought. In the **Russian Federation**, conditions are generally favourable as winter wheat growth restarts with areas of concern in the south due to the spring frost and low levels of soil moisture. In **Kazakhstan**, winter wheat conditions are favourable. In **China**, conditions are favourable to exceptional for winter wheat with a bumper crop expected. Sowing of spring wheat has begun. In **India**, harvest has begun for winter wheat under very good conditions with increased expected yields compared to last year. In the **US**, winter wheat is under generally favourable conditions. In **Canada**, winter wheat is in dormancy under favourable conditions while a below-average snowpack in the Prairies remains a risk for winterkill.

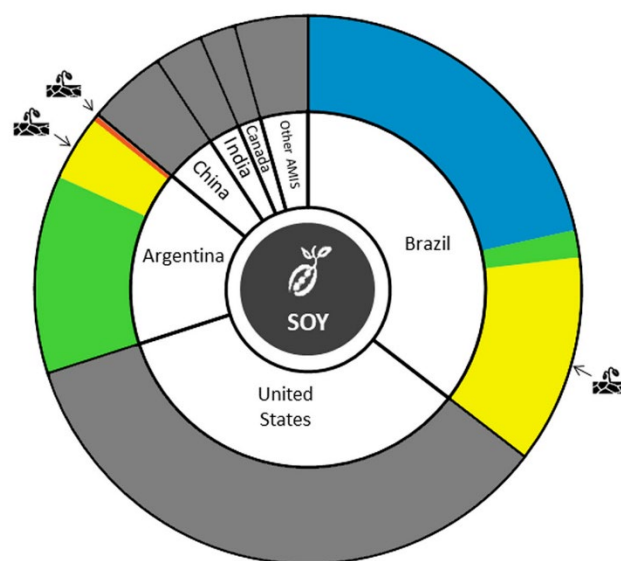
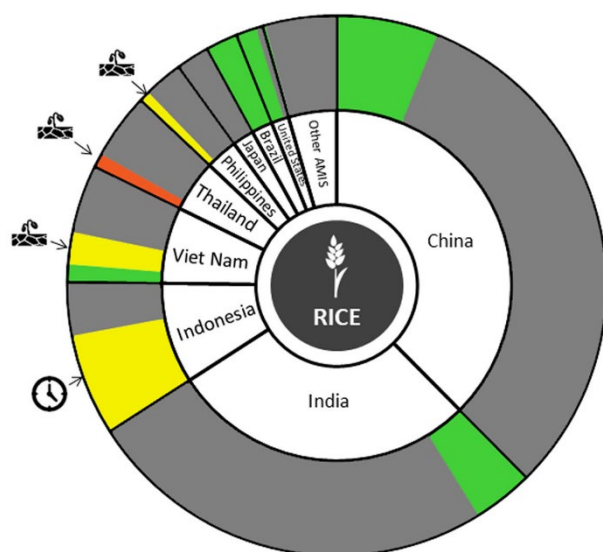
Maize

In **Brazil**, harvest is ongoing for the spring-planted (smaller season) crop under exceptional conditions in the Central-West and Southeast regions with above-average yields expected. However, a lack of rains during December and February has seriously reduced yields in the main producing south, especially in Rio Grande do Sul. Sowing of the summer-planted (larger season) crop is wrapping up under favourable conditions with an increase in total sown area compared to last season. In **Argentina**, conditions are generally favourable for both spring-planted and summer-planted crops due to rainfall over the past few weeks. However, there is some concern for soil moisture deficits affecting the summer-planted crop in San Luis and Entre Rios. In the **US**, sowing is just beginning in the most southerly areas under favourable conditions. In **Mexico**, conditions are favourable for the autumn-winter crop. In **India**, conditions are favourable for the Rabi crop with total sown area close to average. In **China**, sowing of the spring-planted crop has begun in the southern regions under favourable conditions. In **South Africa**, conditions are generally favourable with above-average yields expected in the central growing states.



Pie chart description: Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (95 percent of production) shown individually and the remaining 5 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Conditions:**Drivers:****Rice**

In **China**, sowing of early-season rice is beginning under favourable conditions. In **India**, conditions are favourable as transplanting of Rabi rice is complete in most of the country. There is an increase in total sown area compared to the average. In **Indonesia**, continuing rainfall is supporting the expansion of wet-season rice sowing much later into the season than normal. Harvesting of earlier sown crops continues under watch conditions due to the prolonged drought reducing yields compared to last year. In **Viet Nam**, harvesting of dry-season rice (winter-spring) is beginning under watch conditions in the south due to damaging saltwater intrusion, which has also reduced total sown area. In the north, sowing continues under favourable conditions due to warm weather and ample irrigation preparation. In **Thailand**, harvesting of dry-season rice has begun under poor conditions due to the season-long shortage of available water for irrigation, and some pest damage in the northern region. Total sown area is estimated to be down by about a third compared to last year due to dry conditions. In the **Philippines**, conditions have deteriorated for dry-season rice sown in November to December as insufficient soil moisture during the main development phases has reduced expected yields. In **Brazil**, harvest has begun under favourable conditions. In the **US**, sowing has begun in the south under favourable conditions.

Soybeans

In **Brazil**, harvest is ongoing under generally exceptional conditions with above-average yields estimated in the Central-West and Southeast regions. In the south, persistent dryness during December and February in Rio Grande do Sul during the critical development stages has caused yield reductions, however the states of Parana and Santa Catarina were less affected by the dryness and might help to maintain overall average yields in the region. In **Argentina**, recent rainfall has delayed the start of harvesting for spring-planted crops, which are under generally favourable conditions except in Entre Rios, Santa Fe, and San Luis due to earlier dry conditions. Summer-planted crops are under mixed conditions as recent rains stopped a hot and dry period but might have come too late in some areas to save yields.

Information on crop conditions in non-AMIS countries can be found in the [GEOGLAM Early Warning Crop Monitor](#), published 2 April 2020

Policy developments

Wheat

- On 22 March, **Kazakhstan** banned exports of key food products, including buckwheat and wheat flour, in effect until at least 15 April 2020. On 30 March, Kazakhstan lifted the export ban and announced quotas for export shipments in April covering wheat (200 000) and wheat flour (70 000) to ensure steady domestic supplies amid the COVID-19 crisis.
- On 30 March, **Ukraine** set a maximum limit of wheat exports for the 2019/20 season at 20.2 million tonnes to avoid a rise in domestic bread prices.

Rice

- On 3 March, in the midst of the COVID-19 outbreak, and coinciding with the start of spring planting, **China** instructed provinces to ensure the stability of rice planted areas. Reflecting food security concerns, the government notice reinstates double cropping of rice while seeking to increase planted areas of early rice crops and reduce fallow land. When facing a labour shortage caused by the pandemic, agricultural producers will receive special assistance.
- On 5 March 2020, the **Chinese** government renewed the tariff exemption for US soybean imports for one year.
- On 23 March, **China** decided to procure a record amount of 50 million tons of rice, in order to stabilize domestic supply in the midst of the COVID-19 outbreak.
- On 6 March 2020, the **European Commission** fixed the import duty on husked rice at EUR 42.5 (USD 46.5) per tonne, to be applicable to all Member states from 9 March 2020 onwards (Regulation 2020/383).
- On 11 March, the **Viet Nam** government ordered private traders to keep minimum levels of stocks of rice (5 percent of the rice shipments made in the past 6 months) to stabilize the domestic market.
- On 25 March, **Viet Nam** suspended the authorization of rice export contracts until at least 28 March, in order to examine whether domestic supplies were sufficient during the COVID-19 outbreak.
- On 27 March 2020, **Viet Nam** announced that it plans to stockpile 270 000 tonnes of rice amid the COVID-19 outbreak.

Across the board

- On 5 March 2020, **Argentina** (Decree 230/2020) increased export taxes for soybean and soybean products from 30 percent to 33 percent. Export taxes were lowered from 9 percent to 5 percent for maize flour and from 9 percent to 7 percent for wheat flour, while export taxes for maize and wheat were kept constant at 12 percent.
- On 13 March 2020, to facilitate trade during the COVID-19 outbreak, the **Chinese** Ministry of Transport announced that incoming and outgoing international shipments were free from port construction fees from 1 March to 30 June 2020.
- On 31 March, the **Eurasian Economic Commission** Board of Ministers established a temporary export ban until 30 June 2020 for various food products from the countries of the Eurasian Economic Union. Among these are rice, buckwheat, millet, wholemeal flour and granules from cereals kernels, buckwheat kernels, processed foods from buckwheat, crushed and uncrushed soybeans and sunflower seeds. This ban will begin 10 days after the date of this announcement.
- On 18 March 2020, **India** announced that beneficiaries under the public distribution system will be allowed to withdraw six months' worth of foodgrains in one go. Currently, beneficiaries can withdraw maximal two-month quota of grains in one go. The measure is to control the COVID-19 panic buying and prevent a price increase. Food grain stocks are reported to be sufficiently large.
- Starting 18 March 2020, **Indonesia** introduced ration purchases of staple foods in the areas affected by the COVID-19 outbreak in order to prevent panic buying. Rice purchases for personal use cannot exceed 22 pounds.
- On 25 March, **India** increased the amount of subsidized food grains to the beneficiaries of the Public Distribution System from 5 kg to 7 kg per month. This measure was taken to ensure a sufficient supply of food grains during the lockdown caused by the COVID-19 outbreak.
- Starting 1 April 2020, poor families in the **Indian** state of Chhattisgarh will receive 2 months of free rice under the Public Distribution Scheme. This measure is in response to the COVID-19 outbreak.
- On 20 March 2020, the **Russian Federation** government announced that it banned exports of processed grains, rice and buckwheat, for 10 days. On 24 March, the Russian Federation cancelled these measures.
- On 27 March, the **Russian Federation** introduced a quota of 7 million tonnes for exports of wheat, maize,



AMIS Policy database

Visit the AMIS Policy database at: <https://app.amis-outlook.org/#/policy-database>

The AMIS Policy database gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.

Only AMIS participants are marked in **bold**.

barley and rye from 1 April to 30 June 2020, aiming to stabilize the domestic market.

Trade Junctions

- On 16 March 2020, ships were not able to dock along the Panama River in Rosario, the main port for soybean meal and oil exports in **Argentina**. Ships were held up because the procedure to clear the crew from contagious diseases was suspended due to the COVID-19 pandemic.
- On 19 March 2020, Timbues, a main port town for agricultural exports in **Argentina**, announced that it closed ports and mills until 2 April in order to prevent the spread of the COVID-19.
- On 23 March, port terminals in **Argentina** were reopened to cargo following a government decree. During the period of closure, shipments are reported to have been unaffected since reserves kept by companies at key terminals were sufficiently large.
- On 25 March 2020, the **Argentinean** Ministry of Transport declared that people with export-related work are “exempt from compliance with rules mandating preventive isolation.”

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	March 2020 Average*	% Change M/M	% Change Y/Y
GOI	189	- 2.1 %	+ 0.1 %
Wheat	187	- 2.2 %	- 0.5 %
Maize	180	- 3.7 %	+ 0.6 %
Rice	178	+ 4.9 %	+ 11.3 %
Soybeans	170	- 3.1 %	- 1.7 %

*Jan 2000=100, derived from daily export quotations

Wheat

Concerns about the impact of COVID-19 continued to dominate the news in the past month and influenced day-to-day movements in wheat prices. While the longer-term implications for demand were uncertain, a nearby upswing in import buying, including a raft of tenders in North Africa, provided late-month support to export prices. Logistical problems were reported in some countries as COVID-19-related movement restrictions were introduced. Although prospects for global supplies in 2020/21 remained mostly good, there were some threats to the overall outlook, and this offered price underpinning. In the Russian Federation, a weaker currency contributed to a fall in US dollar-denominated export prices and saw an accelerating pace of exports. While the export competitiveness of US supplies was eroded by a stronger currency, confirmation of sales of US milling wheat to China supported sentiment. Overall, the IGC GOI wheat sub-Index fell by 2 percent m/m.

Maize

The IGC maize sub-Index fell to a four-month low in March, dropping by a net 4 percent m/m, as COVID-19 worries and spillover from external markets pressured prices across all major exporters. US values were particularly susceptible to the slump in crude oil prices and a sharp reduction in fuel and ethanol demand. However, firming was noted towards the end of the month, tied to a modest pickup in export demand, with new sales confirmed to China. Average quotations in Argentina declined on a seasonal increase in supplies and reports of strong yields from the early stages of the harvest.

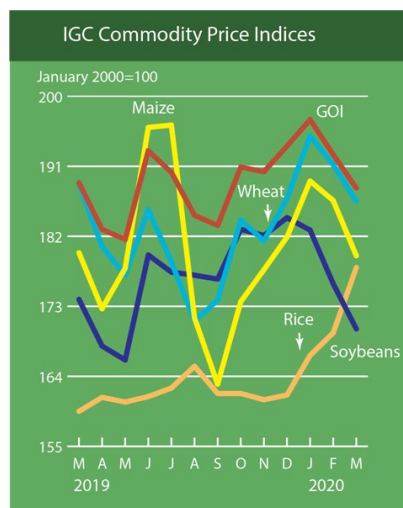
More recently however, values firmed on COVID-19-related logistical constraints.

Rice

Rice prices advanced m/m to a multi-year high, supported by worries that drought in Thailand would restrict availabilities on international markets and amid a heavy uptick in consumer purchasing in both exporting and importing countries on COVID-19 concerns. However, gains were pared by losses in Asian exporters' currencies against the US dollar, while a slowdown in government procurement and subsequent increase in export availabilities added mild pressure in India. Logistical constraints also featured, including a shortage of containers commonly used to ship speciality grains such as basmati and fragrant rice.

Soybeans

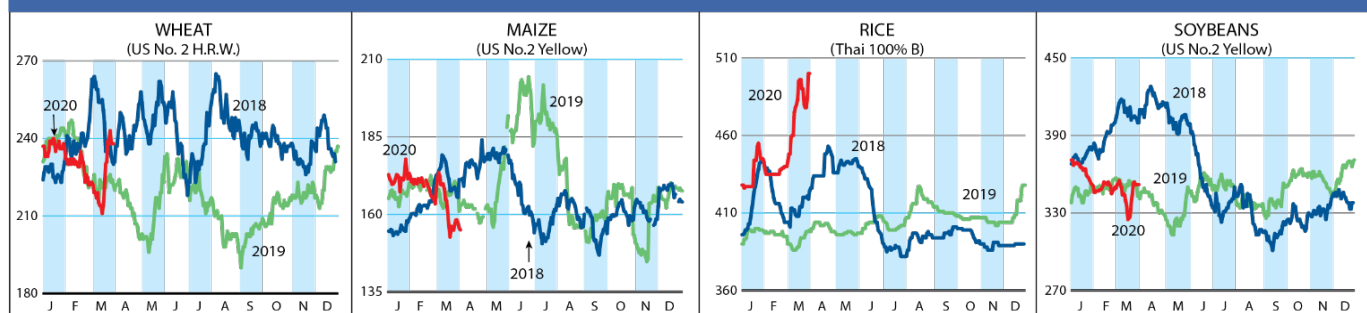
Stemming from weakness at all major origins, average soybean values dropped by 3 percent m/m in March. After initial modest gains, export prices fell steeply in sympathy with a plunge in external markets, linked to deepening worries about the impact of the COVID-19 pandemic on global economic activity. Despite news that China had secured some cargoes from the US for April shipment, underlying export demand concerns also weighed – reflected in disappointing weekly sales tallies. More recently, overall declines were trimmed by news of tightening soymeal availabilities and heightened worries about South American logistics owing to the imposition of transportation restrictions aimed at controlling the spread of COVID-19.



		IGC commodity price indices				
		GOI	Wheat	Maize	Rice	Soybeans
(..... January 2000 = 100) (.....)						
2019	March	188.9	188.7	179.9	159.5	173.9
	April	182.9	180.7	172.7	161.3	167.9
	May	181.6	177.0	177.9	160.7	166.1
	June	193.0	185.4	196.0	161.4	179.7
	July	190.2	178.7	196.3	162.5	177.4
	August	184.7	171.1	171.5	165.3	177.0
	September	183.4	173.8	163.0	161.8	176.5
	October	190.9	184.1	173.6	161.8	182.9
	November	190.3	181.4	177.7	161.0	182.1
	December	193.6	186.9	181.9	161.6	184.4
	January	197.0	194.9	189.1	166.7	182.8
	February	192.5	191.2	186.6	169.6	175.9
2020	March	188.2	186.5	179.5	178.0	170.1

Selected export prices, currencies and indices

Daily quotations of selected export prices (USD/tonne, 2018-2020)



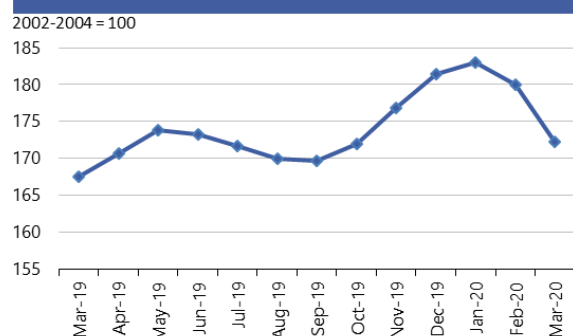
Daily quotations of selected export prices

	Effective Date	Quotation (1)	Month ago (2)	Year ago (3)	% change (1) over (2)	% change (1) over (3)
..... USD/tonne						
Wheat (US No. 2, HRW)	30-Mar	238	222	220	7.2%	8.2%
Maize (US No. 2, Yellow)	30-Mar	156	163	161	-4.8%	-3.4%
Rice (Thai 100% B)	30-Mar	500	440	400	13.6%	25.0%
Soybeans (US No. 2, Yellow)	30-Mar	352	349	341	0.9%	3.2%

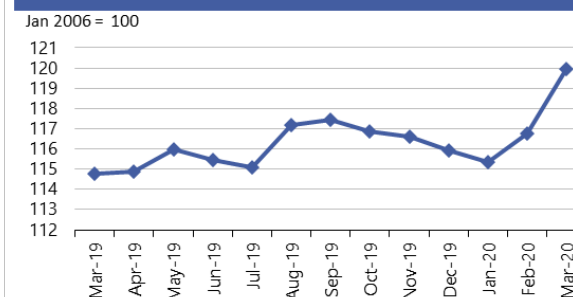
AMIS Countries' Currencies Against US Dollar

AMIS Countries	Currency	Mar 2020 Average	Monthly Change	Annual Change
Argentina	ARS	63.1	-3.0%	-52.7%
Australia	AUD	1.6	-7.5%	-14.3%
Brazil	BRL	4.9	-12.5%	-27.5%
Canada	CAD	1.4	-5.0%	-4.3%
China	CNY	7.0	-0.4%	-4.6%
Egypt	EGP	15.7	-0.2%	9.6%
EU	EUR	0.9	1.4%	-2.2%
India	INR	74.6	-4.2%	-7.3%
Indonesia	IDR	15,220.5	-10.6%	-7.2%
Japan	JPY	107.7	2.1%	3.1%
Kazakhstan	KZT	419.4	-11.0%	-10.9%
Rep. Korea	KRW	1,217.3	-1.9%	-7.6%
Mexico	MXN	22.3	-18.5%	-16.0%
Nigeria	NGN	323.7	-5.8%	-5.8%
Philippines	PHP	51.0	-0.4%	2.9%
Russian Fed.	RUB	74.5	-16.2%	-14.4%
Saudi Arabia	SAR	3.8	-0.1%	-0.1%
South Africa	ZAR	16.7	-11.0%	-16.0%
Thailand	THB	32.1	-2.5%	-1.2%
Turkey	TRY	6.3	-4.5%	-16.2%
UK	GBP	0.8	-5.0%	-6.8%
Ukraine	UAH	26.6	-8.3%	1.1%
Viet Nam	VND	23,353.2	-0.5%	-0.7%

FAO Food Price Index
Mar 2019 - Mar 2020



Nominal Broad Dollar Index
Mar 2019 - Mar 2020



Source: US Federal Reserve

Futures markets

Futures Prices – nearby

	Mar-20 Average	% Change	
		M/M	Y/Y
Wheat	197	-2.5%	18.1%
Maize	142	-4.6%	-1.8%
Rice	297	-	25.2%
Soybeans	319	-2.0%	-3.1%

Source: CME

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Mar-20	Feb-20	Mar-19
Wheat	25.1	17.7	28.8
Maize	21.7	19.5	14.9
Rice	18.2	13.5	17.8
Soybeans	15.2	10.2	11.3

Futures Prices

Prices for wheat, maize, soybeans and rice declined m/m as the global spread of COVID-19 and its attendant uncertainties eclipsed all other news. All four commodities experienced sharp sell-offs mid-month but quickly recovered, once analysts projected only modest impacts to export demand. Recent purchases of US wheat, maize and soybeans by China lent some support to values, although doubts remained over the country's fulfillment of the Phase One trade pact with the US. Exogenous markets played a major role in price movements as the US dollar soared and global equity markets collapsed by as much as 35 percent, pushing the US Volatility Index to a historic high of 85. In addition, crude oil prices sunk to below USD 20 after major producers failed to agree on production curbs. Wheat, maize, soybeans and rice prices declined 2.5, 4.6, and 2.0 percent respectively while rice prices were unchanged. Prices for wheat and rice were higher y/y by 18.1 and 25.2 percent while lower for maize and soybeans by 1.8 and 3.1 percent respectively.

Volumes and volatility

Trade volumes were lower m/m for wheat, maize, and soybeans, but higher y/y. Historical and implied volatility were higher m/m for the three commodities but remained fairly muted – registering levels in the mid-teens to upper twenties.

Basis levels and transport

Domestic basis levels declined m/m for maize as ethanol margins deteriorated to low or negative levels. Basis levels for soybeans were about unchanged. In Illinois, average quotes to local elevators were minus USD 6 per tonne for maize, and minus USD 4 per tonne for soybeans, each under the respective May futures prices. In Iowa, maize and soybean bids were minus USD 6 and minus USD 19 respectively (under the respective futures). In soft red wheat, bids for delivery to northern flour mills remained firm, quoted as premiums to May futures. Maize and soybean bids delivered to gulf were unchanged to firmer m/m at USD 20 and USD 22, respectively, while soft red wheat quotes fell again from their January highs to USD

36 (per tonne premium over respective May futures).

Barge freight for the Lower Illinois River softened m/m to around USD 14 per tonne, dropping below a two-year low. In export markets, the USDA reported total 2019/20 exports for wheat (all wheat classes) and soybeans were running about 10 percent higher y/y (crop year basis), while for maize, total exports were significantly lower, by more than 40 percent below levels reported y/y.

Forward curves

Forward curves responded to the fundamentals of each commodity. Wheat curves showed a significant inversion of the nearby May contract over deferred months (downward slope) as basis levels remained high and delivery stocks showed two successive m/m declines. Proposed quotas on Russian wheat exports also added to nearby strength. Maize curves demonstrated greater upward slope as domestic demand – particularly for ethanol – slumped. Conversely, soybean curves flattened with the July 20/November 20 inverting as soybean demand surged to offset the reduction in dried distillers' grain – the by-product of maize-based ethanol production used for feed. Fears of supply chain disruptions in Brazil and Argentina also helped boost the soybean curve inversion.

Investment flows

Managed money increased its net short for maize, reversed from long to short in soybeans, while zigzagging from long to short to long again in wheat. Similar to several previous months, commercials maintained net short positions while swaps dealers maintained net long positions for all three.



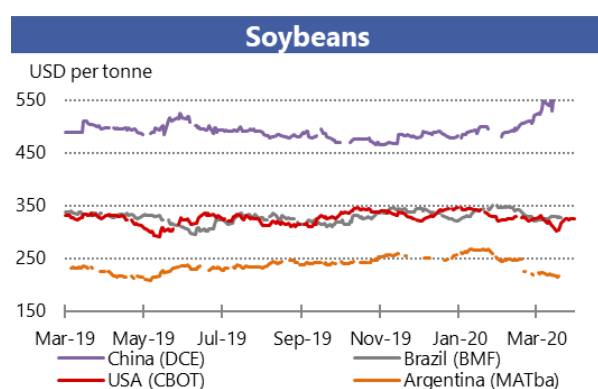
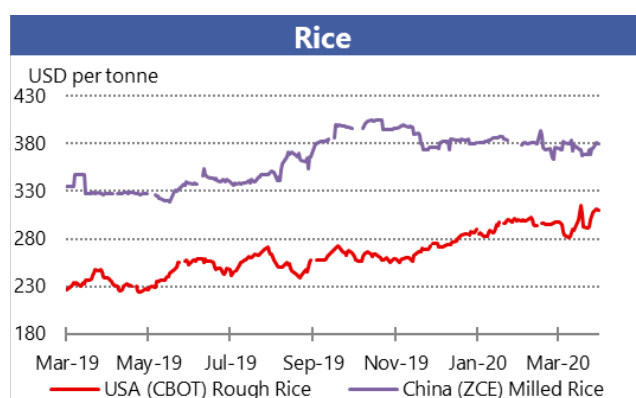
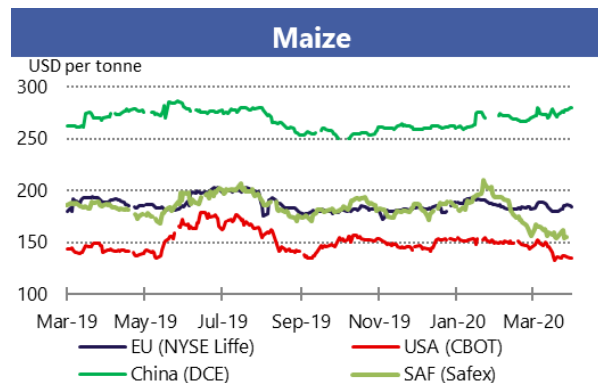
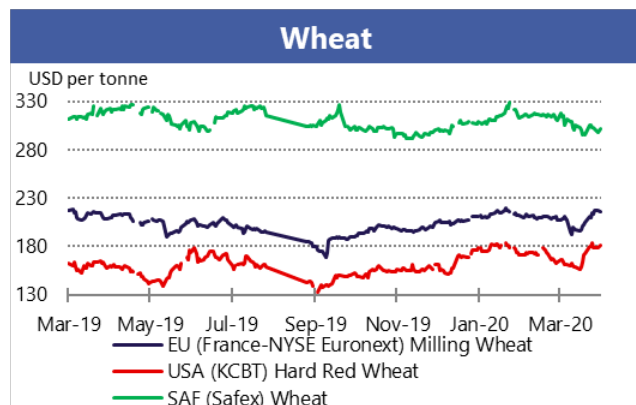
AMIS Market indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at: <http://www.amis-outlook.org/amis-monitoring/indicators/>

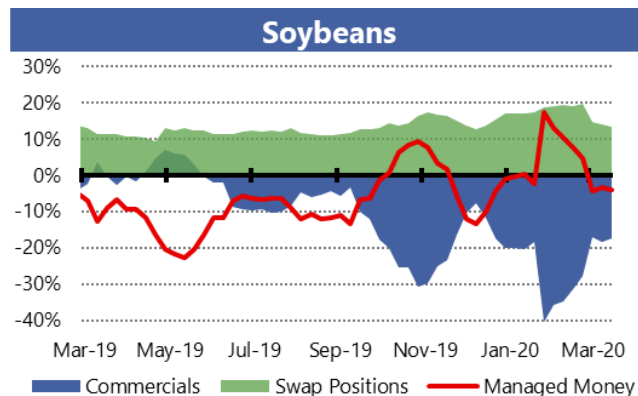
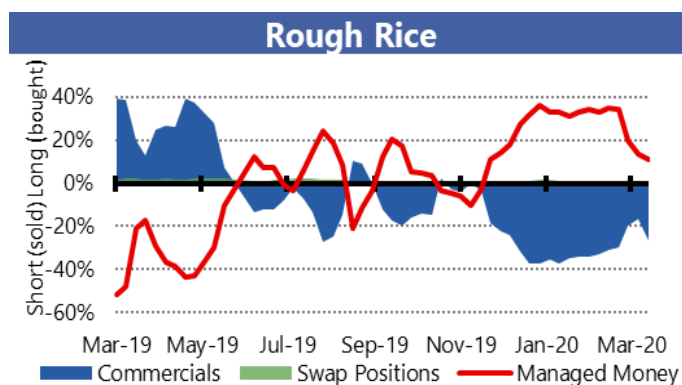
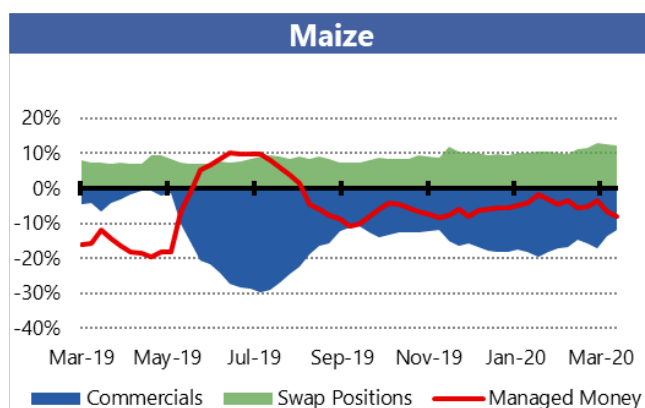
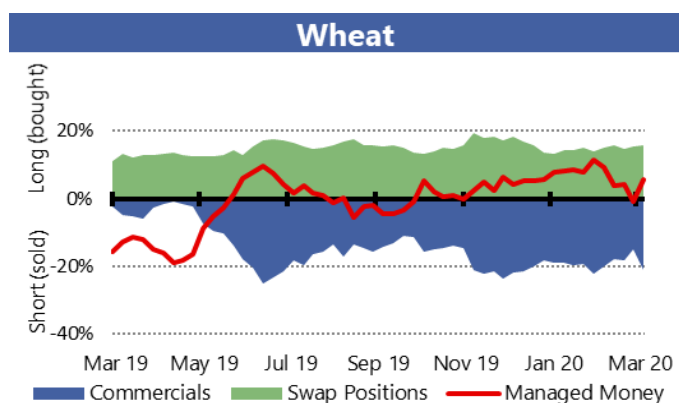
*For more information about Forward Curves see the feature article in [No. 75 February AMIS Market Monitor 2020](#).

Market indicators

Daily quotations from leading exchanges - nearby futures

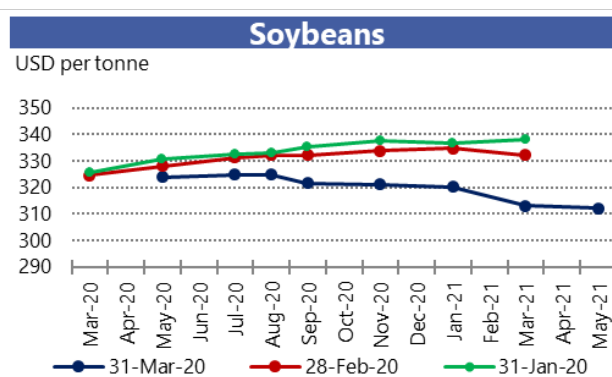
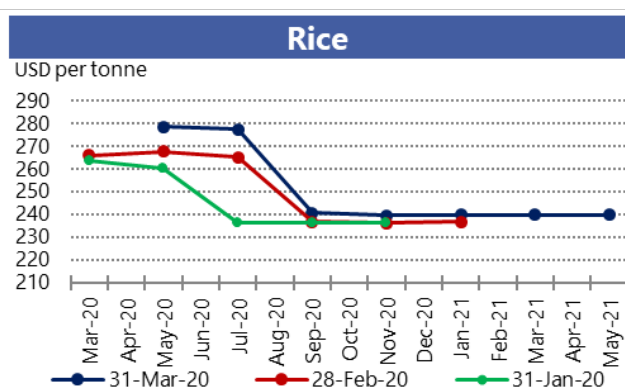
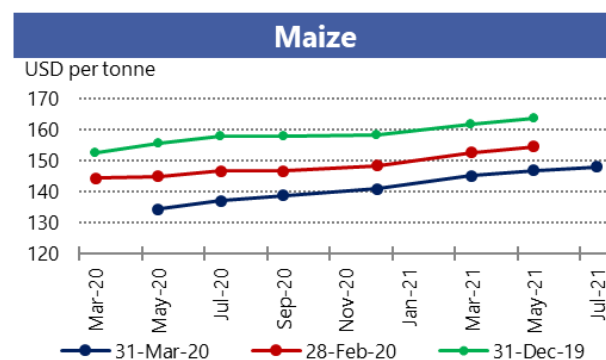
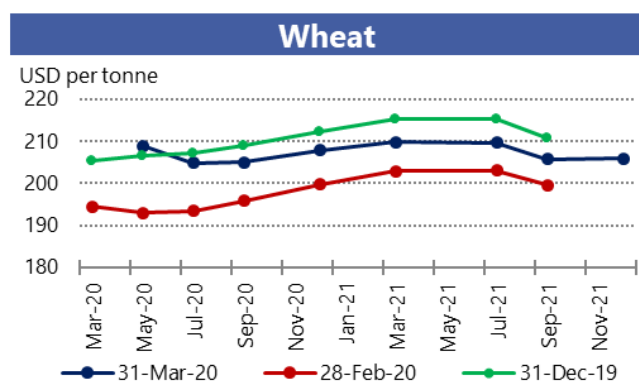


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

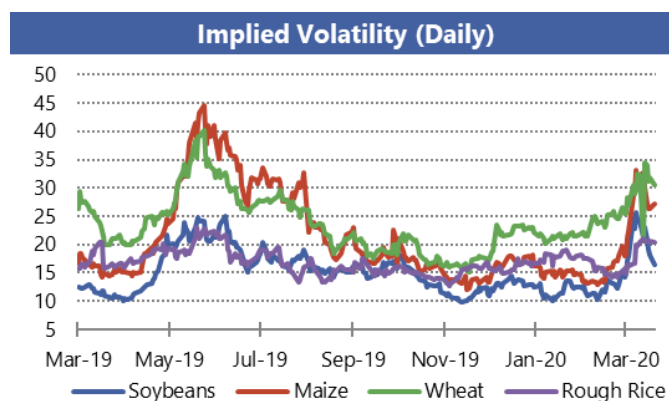
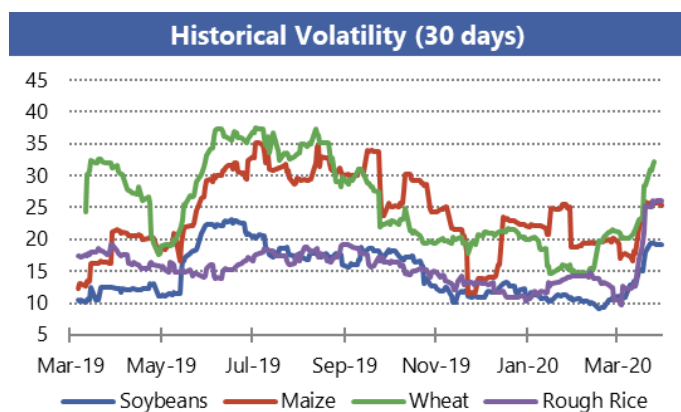


*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities

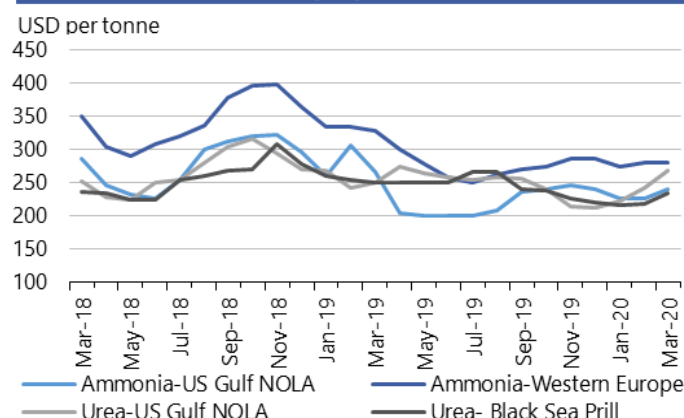


AMIS Market indicators

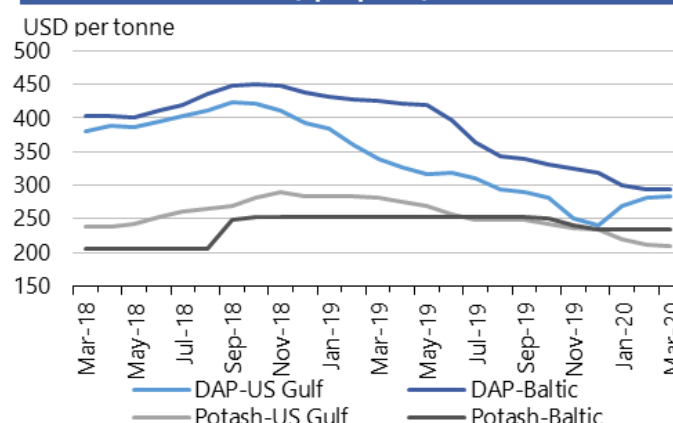
Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at: <http://www.amis-outlook.org/amis-monitoring/indicators/>

Fertilizer outlook

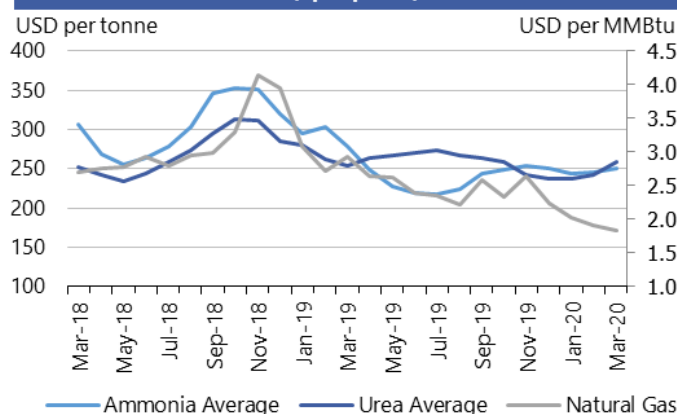
Ammonia and Urea Major World Markets
(Spot prices)



Potash and Phosphate Major World Markets
(Spot prices)



Ammonia Average, Urea Average and Natural Gas
(Spot prices)



Note: Natural gas is used as major input to produce nitrogen-based fertilizers.
Own elaboration based on Bloomberg.

- A weaker global demand due to the COVID-19 pandemic and a collapse in oil prices exacerbated the fall of **natural gas prices**, to 37 percent below the same period last year.
- Despite lower gas prices, **urea prices** both in the US Gulf and Black Sea, and **ammonia prices** in the US Gulf continued their uptick trend due to increased demand from the start of the application period in the US and the temporary decrease in production in China.
- **DAP prices**, in contrast, remained stable m/m, but like other chemical inputs remained significantly below levels from one year ago. DAP supplies appear ample to meet the growing seasonal demand in the Northern Hemisphere.
- Higher inventories and wet soils in the US Corn Belt continued to push **potash prices** downward, whereas in Western Europe supply shortages prevented a price decrease.

	March average	March std. dev	% change last month	% change last year	12-month high	12-month low
Ammonia-US Gulf NOLA	239.0	-	6.2%	-9.8%	245.0	200.0
Ammonia-Western Europe	280.0	-	0.0%	-14.6%	299.0	250.0
Urea-US Gulf	266.3	8.1	10.5%	7.2%	273.0	212.0
Urea-Black Sea	232.3	6.8	7.4%	-7.1%	265.8	216.0
DAP-US Gulf	283.0	1.7	0.2%	-16.6%	326.8	241.0
DAP-Baltic	295.0	-	0.0%	-30.6%	421.0	295.0
Potash-Baltic	234.0	-	0.0%	-7.1%	252.0	234.0
Potash- US Gulf NOLA	210.0	-	-1.1%	-25.4%	274.8	210.0
Ammonia	250.3	-	1.8%	-10.3%	254.0	218.4
Urea	259.1	1.9	6.6%	2.1%	274.2	237.0
Natural Gas	1.8	0.1	-4.6%	-37.7%	2.7	1.8

All prices shown are in US dollars.
Source: Own elaboration based on Bloomberg

i Chart and tables description

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.

Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.

Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices.

Natural Gas: Henry Hub Natural Gas Spot Price from ICE up to December 2017 and from Bloomberg (BGAP) from January 2018 onwards. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers

DAP: Diammonium Phosphate.

Ocean freight markets

Dry bulk freight market developments

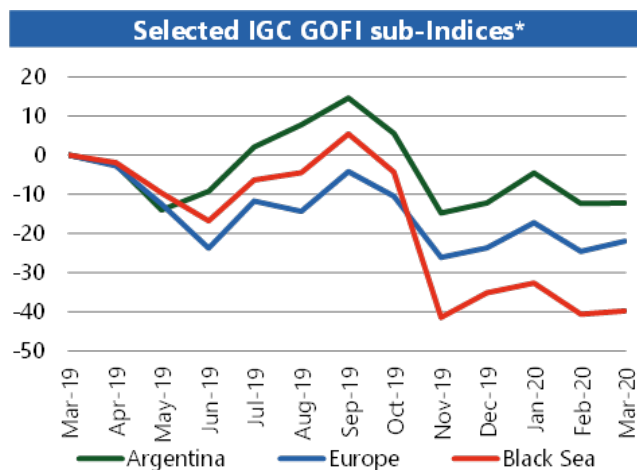
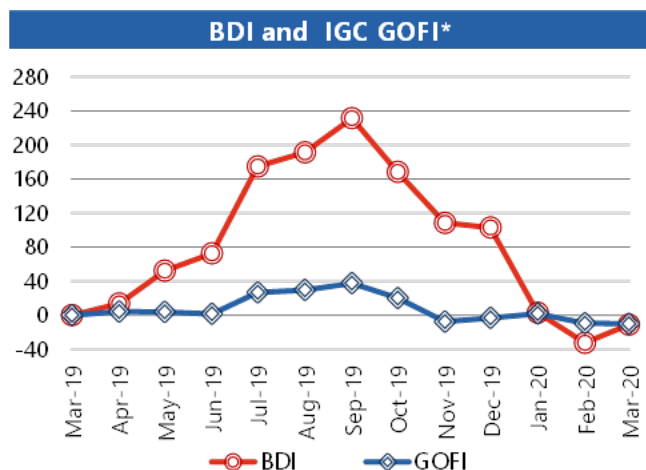
	March-20 average	Change m/m	Change y/y
Baltic Dry Index (BDI)*	604.9	+31.3%	-11.1%
<i>sub-Indices:</i>			
Capesize	-258.5	n/a	n/a
Panamax	922.8	+36.7%	-2.4%
Supramax	710.3	+38.3%	-10.9%
Baltic Handysize Index (BHSI)**	385.3	+26.1%	-11.6%

Sources: Baltic Exchange, IGC.

*4 January 1985 = 1000. **23 May 2006 = 1000.

***1 January 2013 = 100.

	March-20 average	Change m/m	Change y/y
IGC Grains and Oilseeds Freight Index (GOFI)***	100.8	-0.5%	-10.0%
<i>sub-Indices:</i>			
Argentina	126.7	+0.2%	-12.2%
Australia	58.0	-6.8%	-36.7%
Brazil	128.5	+0.0%	+3.2%
Black Sea	108.6	+1.4%	-39.8%
Canada	84.8	-1.5%	-26.8%
Europe	90.5	+3.4%	-22.0%
US	84.6	-2.3%	-11.8%



*percentage change based on monthly average values

- Activity in the dry bulk freight complex appeared to hold up relatively well in the face of the COVID-19 pandemic, as evidenced by a 31 percent monthly gain in average **Baltic Dry Index (BDI)** values. However, COVID-19-related quarantine measures at ports reportedly slowed cargo movement, while travel restrictions in some exporters temporarily disrupted supply chains.
- Panamax** earnings averaged 37 percent higher than in February, but trends were two-sided. After reaching its highest since the turn of the year on strong activity out of South America and minerals demand in Australia, the Baltic sub-Index subsequently receded as an influx of ballasting vessels pressured rates in the former area. Additionally, recent COVID-19-linked control measures raised concerns about sustainability of exports from Argentina and Brazil, where ports featured sizeable maize and soybeans line-ups, respectively.
- Supramax** and **Handysize** rates advanced by 38 percent and 26 percent on average, respectively. Tight tonnage availability in the northern Atlantic was a notable feature, with strength noted on some transatlantic routes. Solid grains shipments out of Europe also supported.
- With higher average timecharter rates offset by weaker low-sulphur fuel prices, average **IGC Grains and Oilseeds Freight Index (GOFI)** values were largely steady m/m. Voyage costs across constituent segments posted mixed changes, with sub-Indices for Europe and the Black Sea, mainly Supramax and Handysize centred, recording slight gains, in part linked to decent demand for grains deliveries to North Africa and Asia.



Source: International Grains Council

Baltic Dry Index (BDI): A benchmark indicator issued daily by the Baltic Exchange, providing assessed costs of moving raw materials on ocean going vessels. Comprises sub-Indices for three segments: Capesize, Panamax and Supramax. The Baltic Handysize Index excluded from the BDI from 1 March 2018.

IGC Grains and Oilseeds Freight Index (GOFI): A trade-weighted composite measure of ocean freight costs for grains and oilseeds, issued daily by the International Grains Council. Includes sub-Indices for seven main origins (Argentina, Australia, Brazil, Black Sea, Canada, the EU and the USA). Constructed based on nominal HSS (heavy grains, soybeans, sorghum) voyage rates on selected major routes.

Capesize: Vessels with deadweight tonnage (DWT) above 80,000 DWT, primarily transporting coal, iron ore and other heavy raw materials on long-haul routes.

Panamax: Carriers with capacity of 60,000-80,000 DWT, mostly geared to transporting coal, grains, oilseeds and other bulks, including sugar and cement.

Supramax/Handysize: Ships with capacity below 60,000 DWT, accounting for the majority of the world's ocean-going vessels and able to transport a wide variety of cargos, including grains and oilseeds.

Explanatory notes

The notions of **tightening** and **easing** used in the summary table of “Markets at a glance” reflect judgmental views that take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts are based on the latest data published by FAO, IGC and USDA. For the former, they also take into account information provided by AMIS focal points (hence the notion “FAO-AMIS”). World estimates and forecasts produced by the three sources may vary due to several reasons, such as varying release dates and different methodologies used in constructing commodity balances. Specifically:

Production: Wheat production data from all three sources refer to production occurring in the first year of the marketing season shown (e.g. crops harvested in 2016 are allocated to the 2016/17 marketing season). Maize and rice production data for FAO-AMIS refer to crops harvested during the first year of the marketing season (e.g. 2016 for the 2016/17 marketing season) in both the northern and southern hemisphere. Rice production data for FAO-AMIS also include northern hemisphere production from secondary crops harvested in the second year of the marketing season (e.g. 2017 for the 2016/17 marketing season). By contrast, rice and maize data for USDA and IGC encompass production in the northern hemisphere occurring during the first year of the season (e.g. 2016 for the 2016/17 marketing season), as well as crops harvested in the southern hemisphere during the second year of the season (e.g. 2017 for the 2016/17 marketing season). For soybeans, the latter approach is used by all three sources.

Supply: Defined as production plus opening stocks by all three sources.

Utilization: For all three sources, wheat, maize and rice utilization includes food, feed and other uses (namely, seeds, industrial uses and post-harvest losses). For soybeans, it comprises crush, food and other uses. However, for all AMIS commodities, the use categories may be grouped differently across sources and may also include residual values.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June basis, except for USDA maize trade estimates, which are reported on an October/September basis. Wheat trade data from all three sources includes wheat flour in wheat grain equivalent, while the USDA also considers wheat products. For rice, trade covers shipments from January to December of the second year of the respective marketing season. For soybeans, trade is reported on an October/September basis by FAO-AMIS and the IGC, while USDA data are based on local marketing years except for Argentina and Brazil which are reported on an October/September basis. Trade between European Union member states is excluded.

Stocks: In general, world stocks of AMIS crops refer to the sum of carry-overs at the close of each country's national marketing year. For soybeans, stock levels reported by the USDA are based on local marketing years, except for Argentina and Brazil, which are adjusted to October/September. For maize and rice, global estimates may vary across sources because of differences in the allocation of production in southern hemisphere countries.

For more information on AMIS Supply and Demand, please view [AMIS Supply and Demand Balances Manual](#).

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, Reuters, USDA, US Federal Reserve

AMIS - GEOGLAM Crop Calendar

Selected leading producers

Wheat		J	F	M	A	M	J	J	A	S	O	N	D
EU (21%)*	winter												
China (17%)	spring												
	winter												
India (13%)	winter												
US (8%)	spring												
	winter												
Russia (8%)	spring												
	winter												
Maize		J	F	M	A	M	J	J	A	S	O	N	D
US (35%)													
China (22%)	north												
	south												
Brazil (8%)	1st crop												
	2nd crop												
EU (7%)													
Argentina (3%)													
Rice		J	F	M	A	M	J	J	A	S	O	N	D
China (29%)	intermediary crop												
	late crop												
	early crop												
India (21%)	kharif												
	rabi												
Indonesia (9%)	main Java												
	second Java												
Viet Nam (6%)	winter-spring												
	summer/autumn												
	winter												
Thailand (4%)	main season												
	second season												
Soybeans		J	F	M	A	M	J	J	A	S	O	N	D
USA (31%)													
Brazil (29%)													
Argentina (18%)													
China (4%)													
India (3%)													

* Percentages refer to the global share of production (average 2013-15).

	Planting (peak)		Harvest (peak)
	Planting		Harvest
	Weather conditions in this period are critical for yields.		Growing period

2020 AMIS Market Monitor Release Dates

February 6, March 5, April 2, May 7, June 4, July 2, September 3, October 8, November 5, December 3

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